

Connecting**Chemistry**



Full Year 2018 Results



6 March 2019

Conference call on FY 2018 results

Corporate Finance & Investor Relations

AGENDA

FY 2018 results presentation

Review 2018

Financials 2018

Outlook 2019

Appendix

REVIEW 2018

Highlights 2018

**Operating
Gross Profit**

+7.5% (fx adj.)

EUR 2,660.9m

**Operating
EBITDA**

+8.4% (fx adj.)

EUR 875.5m

**Free cashflow
generation**

+19.3%

EUR 525.2m

EPS

+27.4%

EUR 2.98

**Growth driven
organically**

Local execution and
implementation of
initiatives

**M&A strategy
executed**

EUR ~265m
(acquired EV in 2018)

**Non-core
business sold**

EUR ~72m
(EV of Biosector
business)

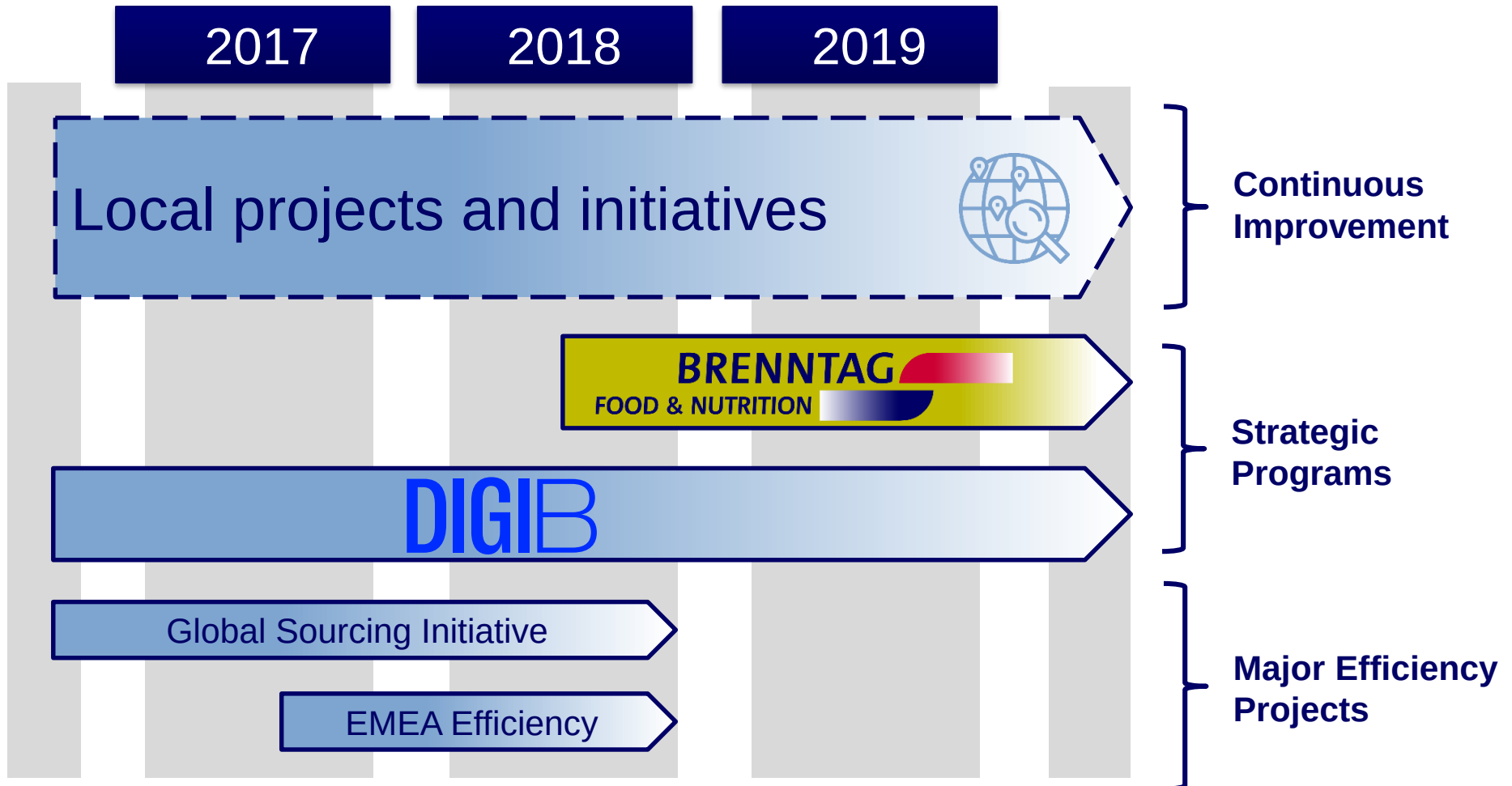
**Dividend
proposal**

EUR 1.20 DPS

+9.1%: 8th consecutive
increase

REVIEW 2018

We are continuously shaping the future of Brenntag



FOOD & NUTRITION REPOSITIONING**Driving growth in the Food & Nutrition industry****Food & Nutrition market is highly attractive****Societal
mega trends**

Growing life expectancy



Global population growth



Sustainability

**Nutritional
mega trends**

Nutritional functionality



Personalization



All natural



Responsibility expectations

Our Food & Nutrition Approach

Global management of strategy, marketing procurement and technology



Dedicated sales, marketing and technical support



Fast and agile decision making



Food-specific branding



Dedicated M&A strategy and further investments in infrastructure



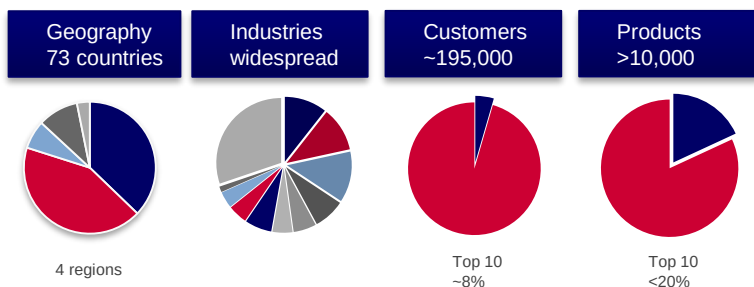
Focus on profitability

RESILIENCY

Brenntag is a company with proven resiliency in challenging markets

Business Model & Management

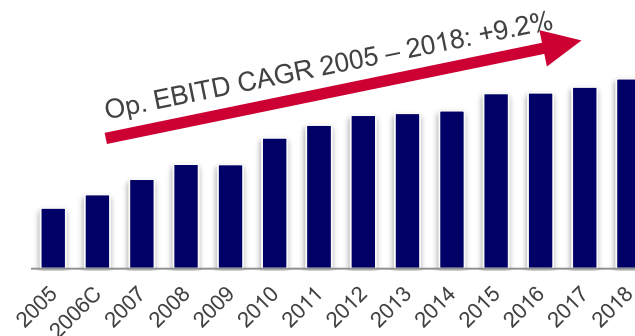
- ✓ Highly diversified regarding geographies, industries, customers and products



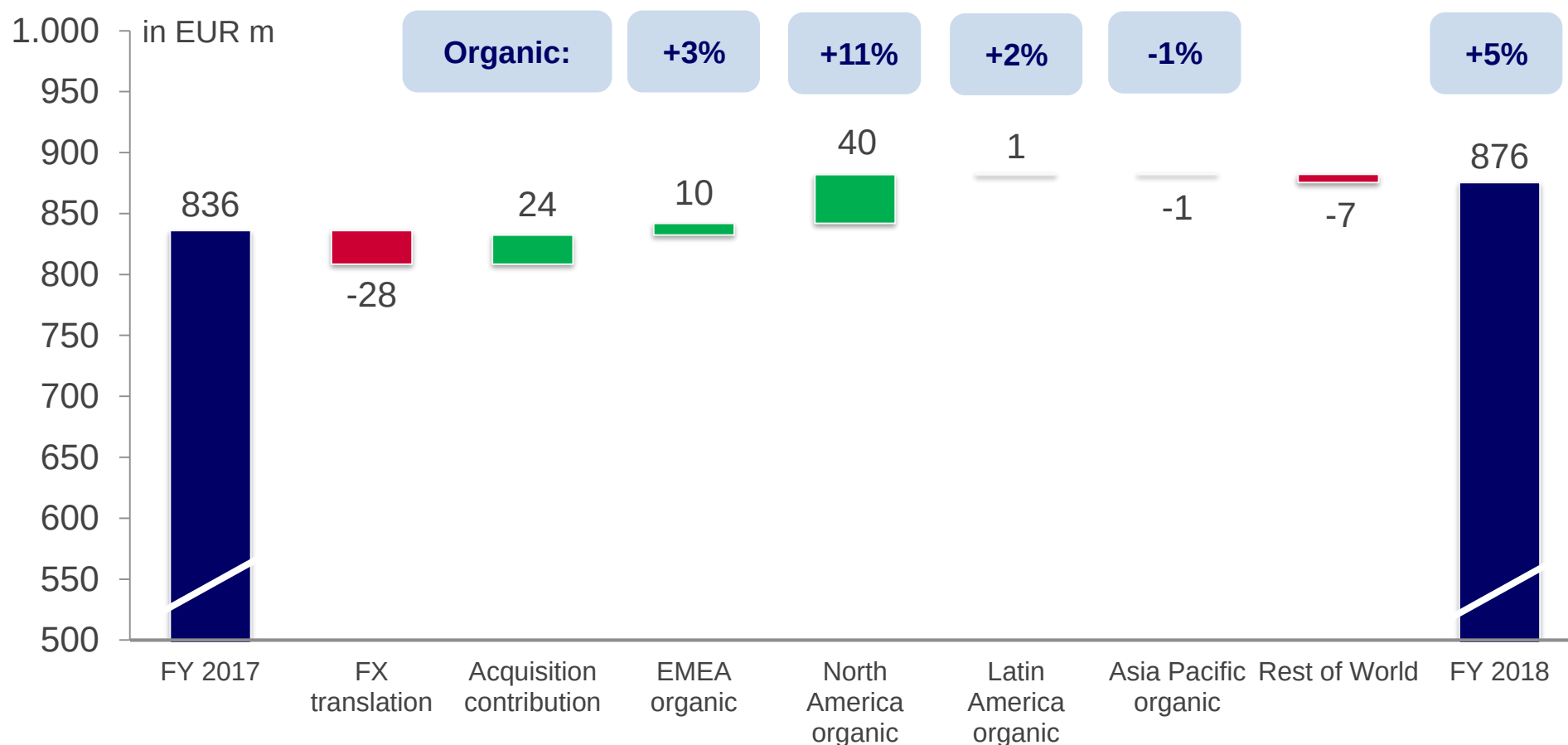
- ✓ Truly dense and global Network
- ✓ No volume dependency - Less than truckload business with small order sizes
- ✓ Price pass through regarding chemical price volatility
- ✓ Focused on continuous and profitable growth
- ✓ Proven M&A strategy

Facts

- ✓ Low volatility in operating EBITDA: over last 14 years only 1 year with marginal decrease
- ✓ Counter cyclical cash flow characteristics: EUR 240m cash inflow from WC in 2009



FINANCIALS FY 2018

Operating EBITDA bridge¹⁾: FY 2017 to FY 2018

1) Calculations are partly based on assumptions made by management; effects based on rounded figures

REVIEW 2018

Segments – EMEA

in EUR m	FY 2018	FY 2017	Δ in %	in % (fx adj.)
Operating gross profit	1,141.2	1,094.8	4.2	5.5
Operating EBITDA	385.5	365.6	5.4	7.2

Update

- Macroeconomic environment softening in the course of the year
- Organic growth in operating gross profit and operating EBITDA (+3%)
- Initiatives: implemented and contributed

REVIEW 2018

Segments – North America

in EUR m	FY 2018	FY 2017	Δ in %	in % (fx adj.)
Operating gross profit	1,118.3	1,073.9	4.1	8.9
Operating EBITDA	409.6	385.0	6.4	11.2

Update

- Generally good macroeconomic environment
- Growth is almost entirely organic
- Operating EBITDA increased by 11% organically
- Growth is broad based across all main customer industries
- Inflation in cost base noticeable and “pass through” is managed effectively

REVIEW 2018

Segments – Latin America

in EUR m	FY 2018	FY 2017	Δ in %	in % (fx adj.)
Operating gross profit	163.1	172.5	-5.4	1.9
Operating EBITDA	39.9	42.4	-5.9	2.3

Update

- Volatile macroeconomic conditions with a declining industrial production
- Organic growth of op. gross profit and operating EBITDA despite macro headwinds
- Situation in the countries differs
- Brazil and Colombia with above average positive contribution
- Overall the region remains to be volatile
- Brenntag as market leader is well positioned in given environment

REVIEW 2018

Segments – Asia Pacific

in EUR m	FY 2018	FY 2017	Δ in %	in % (fx adj.)
Operating gross profit	224.2	198.7	12.8	17.2
Operating EBITDA	77.9	73.7	5.7	9.4

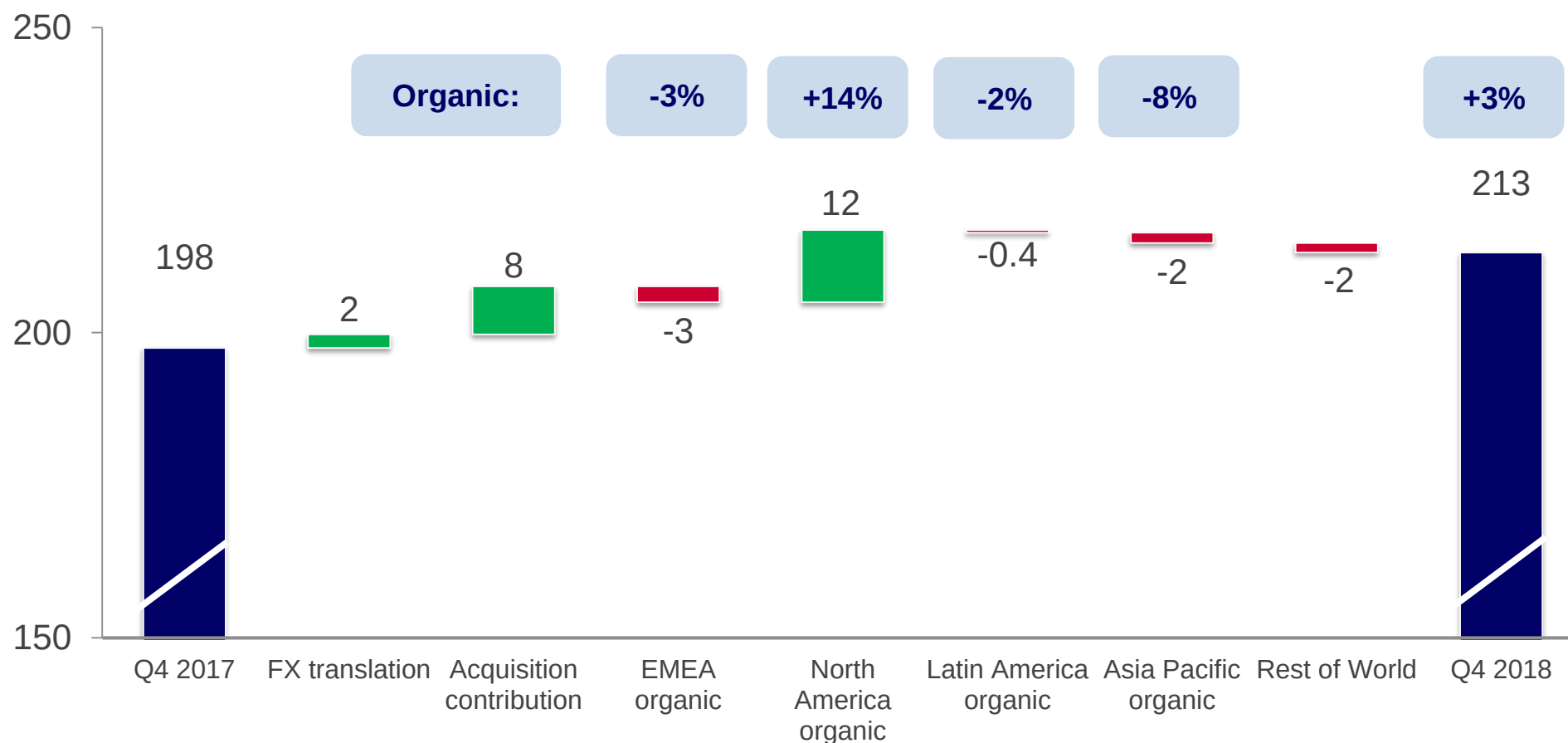
Update

- Weakening trends in the macroeconomic indicators
- Growth in operating gross profit and operating EBITDA
- First half of the year stronger than second half
- Organic op. EBITDA flattish / positive contribution from M&A
- Mixed picture in the countries
- Region with the highest long-term growth potential

FINANCIALS FY 2018

Operating EBITDA bridge¹⁾: Q4 2017 to Q4 2018

in EUR m



1) Calculations are partly based on assumptions made by management; effects based on rounded figures

REVIEW 2018

Successful execution of acquisition strategy in all four regions**EMEA**

- Quimitécnica, Portugal¹⁾
- Alphamin S.A., Belgium
- Desbro Group, Kenya²⁾

- Disposal of Biosector business

North America

- Canada Colors and Chemicals Ltd., Canada
- Pachem Distribution Inc., Canada

Latin America

- Conquimica S.A., Colombia¹⁾

Asia Pacific

- Raj Petro Specialities Pvt Ltd, India¹⁾

M&A 2018: Enterprise Values of ~EUR 265m closed

1) Acquisition was signed in 2017

2) Acquisition signed but not yet closed

AGENDA

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FINANCIALS 2018

Income statement

in EUR m	FY 2018	FY 2017	Δ	Δ FX adjusted
Sales	12,550.0	11,743.3	6.9%	10.2%
Cost of materials	-9,889.1	-9,189.2	7.6%	
Operating gross profit	2,660.9	2,554.1	4.2%	7.5%
Operating expenses	-1,785.4	-1,718.1	3.9%	
Operating EBITDA	875.5	836.0	4.7%	8.4%
Op. EBITDA/Op. gross profit	32.9%	32.7%		

FINANCIALS 2018

Income statement (continued)

in EUR m	FY 2018	FY 2017	Δ
Operating EBITDA	875.5	836.0	4.7%
Special items	17.4	-53.8	
Depreciation	-122.0	-118.9	2.6%
EBITA	770.9	663.3	16.2%
Amortization ¹⁾	-49.9	-44.2	12.9%
EBIT	721.0	619.1	16.5%
Financial result	-97.5	-94.5	3.2%
EBT	623.5	524.6	18.9%
Profit after tax	462.3	362.0	27.7%
EPS	2.98	2.34	27.4%

1) Includes scheduled amortization of customer relationships amounting to EUR 40.7m in 2018 (EUR 34.7m in 2017).

FINANCIALS 2018

Cash flow statement

in EUR m	FY 2018	FY 2017
Profit after tax	462.3	362.0
Depreciation & amortization	171.9	163.1
Income taxes	161.2	162.6
Income tax payments	-150.6	-184.5
Interest result	82.3	86.5
Interest payments (net)	-80.0	-78.3
Changes in current assets and liabilities	-230.7	-203.7
Changes in provisions	-25.7	78.4
Other	-15.4	18.4
Cash provided by operating activities	375.3	404.5

FINANCIALS 2018

Cash flow statement (continued)

in EUR m	FY 2018	FY 2017
Purchases of intangible assets and property, plant & equipment (PPE)	-178.4	-151.4
Purchases of consolidated subsidiaries and other business units	-199.0	-108.0
Proceeds from the disposal of consolidated subsidiaries and business units	68.2	0
Other	19.1	14.5
Cash used for investing activities	-290.1	-244.9
Purchases of companies already consolidated	-	-
Profits distributed to non-controlling interests	-1.6	-1.7
Dividends paid to Brenntag shareholders	-170.0	-162.2
Repayment of (-)/proceeds from (+) borrowings (net)	-39.9	-60.4
Cash used for financing activities	-211.5	-224.3
Change in cash & cash equivalents	-126.3	-64.7

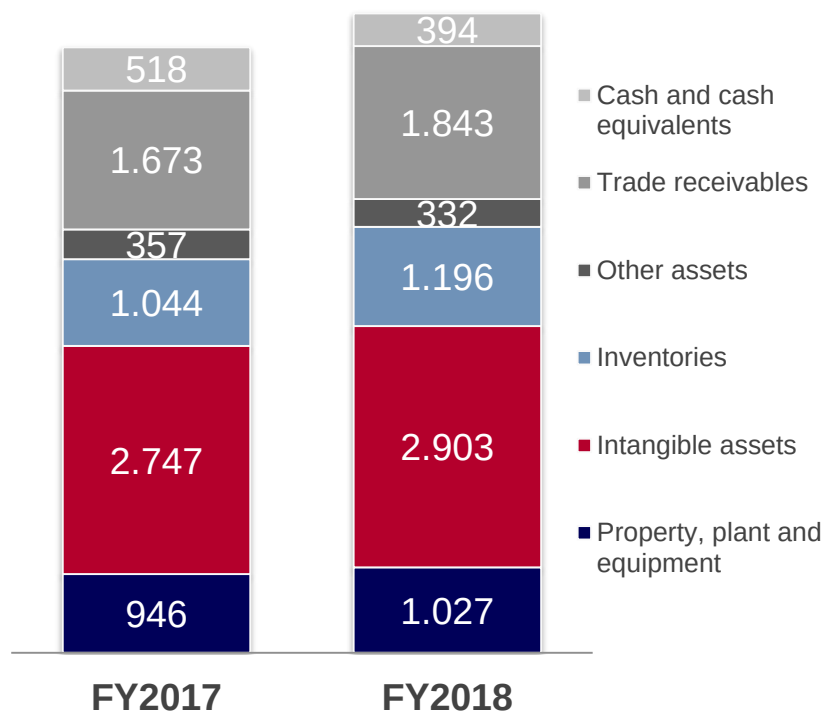
FINANCIALS 2018

Balance Sheet as of 31 December 2018

Assets (in EUR m)

7,285

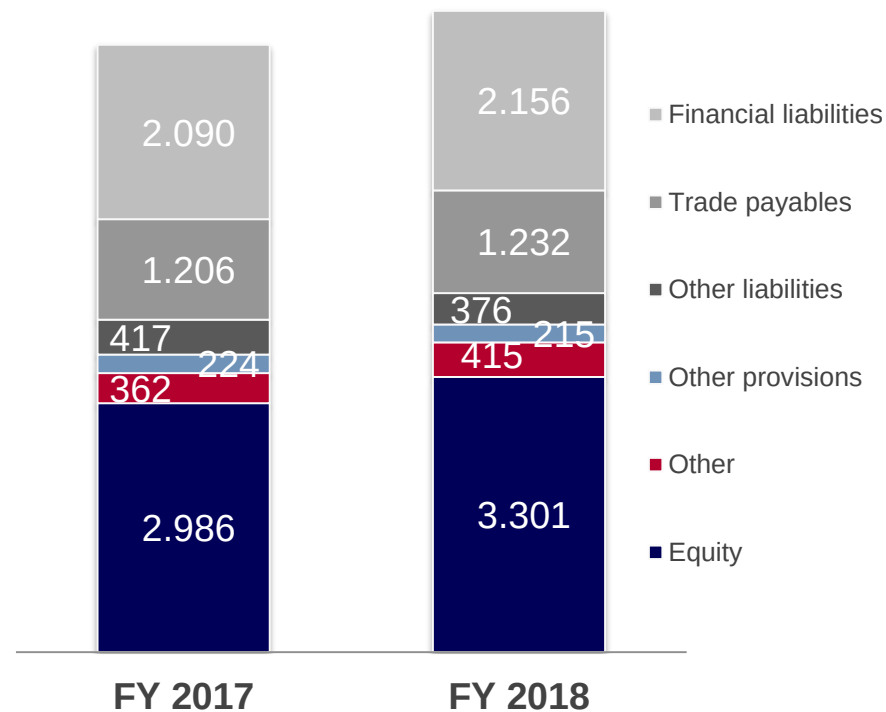
7,695



Liabilities and Equity (in EUR m)

7,285

7,695



FINANCIALS 2018

Balance Sheet and leverage

in EUR m	31 Dec 2018	30 Sep 2018	30 June 2018	31 Mar 2018	31 Dec 2017
Financial liabilities	2,155.7	2,283.7	2,249.3	2,087.0	2,089.9
./. Cash and cash equivalents	393.8	347.1	332.8	489.1	518.0
Net Debt	1,761.9	1,936.6	1,916.5	1,597.9	1,571.9
Net Debt/Operating EBITDA ¹⁾	2.0x	2.3x	2.3x	1.9x	1.9x
Equity	3,301.2	3,164.9	3,047.8	3,058.4	2,985.7

1) Operating EBITDA for the quarters on LTM basis.

FINANCIALS 2018

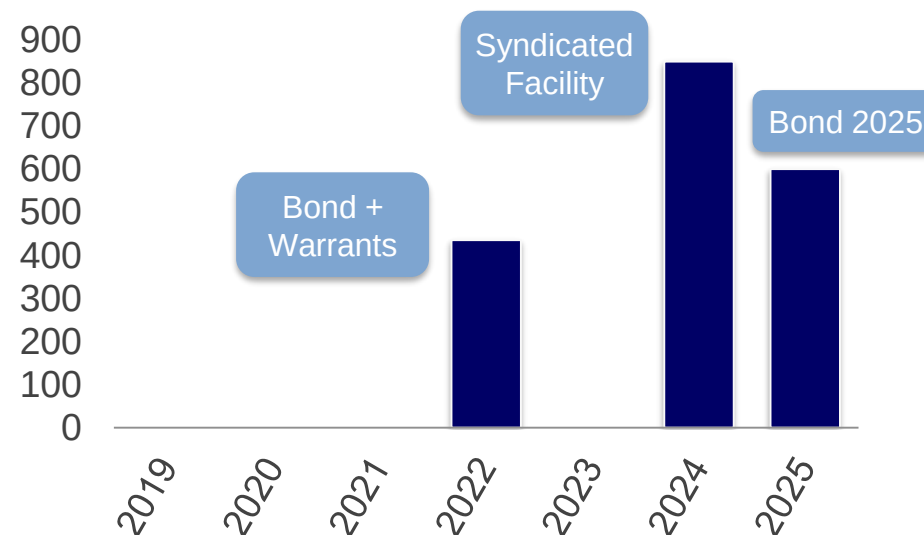
Financial stability of Brenntag Group

Leverage: Net debt/Operating EBITDA ¹⁾

- Constant leverage levels over period with M&A activity
- Investment-grade ratings from Standard & Poor's ("BBB") and Moody's ("Baa3")

Maturity profile as of January 31, 2019

in EUR m



- Long term balanced maturity profile
- Bond 2018 repayment in July 2018

1) Net debt defined as current financial liabilities plus non-current financial liabilities less (cash and cash equivalents)

FINANCIALS 2018

Working capital

in EUR m	31 Dec 2018	30 Sep 2018	30 June 2018	31 Mar 2018	31 Dec 2017
Inventories	1,195.8	1,224.7	1,183.3	1,076.3	1,043.6
+ Trade receivables	1,843.0	1,958.5	1,989.7	1,834.9	1,672.7
./. Trade payables	1,231.8	1,336.7	1,382.3	1,267.9	1,205.8
Working capital (end of period)	1,807.0	1,846.5	1,790.7	1,643.3	1,510.5
Working capital turnover (year-to-date) ¹⁾	7.3x	7.4x	7.5x	7.5x	7.9x
Working capital turnover (last twelve months) ²⁾	7.3x	7.4x	7.5x	7.6x	7.9x

1) Using sales on year-to-date basis and average working capital year-to-date.

2) Using sales on LTM basis and average LTM working capital.

FINANCIALS 2018

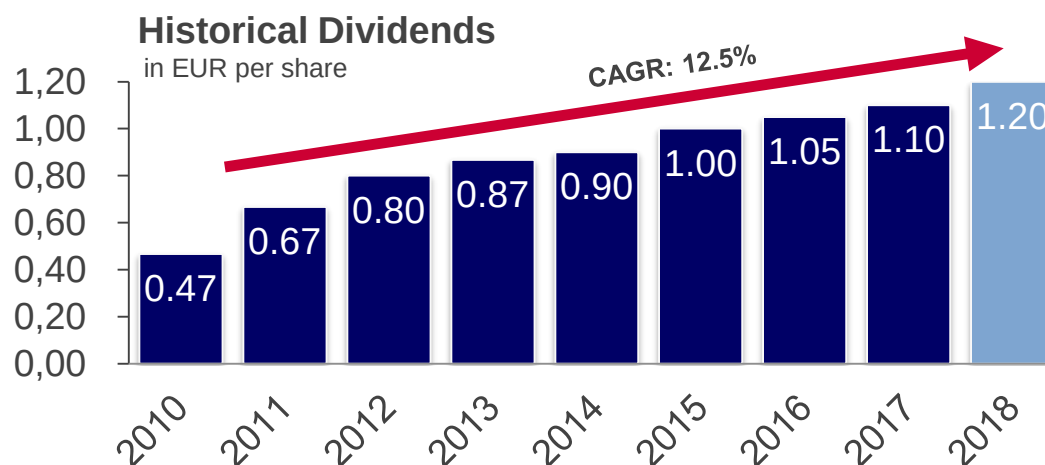
Free cash flow

in EUR m	2018	2017	Δ	Δ
Operating EBITDA	875.5	836.0	39.5	4.7%
CAPEX	-172.2	-148.1	-24.1	16.3%
Δ Working capital	-178.1	-247.6	69.5	-28.1%
Free cash flow	525.2	440.3	84.9	19.3%

FINANCIALS 2018

Further dividend increase proposed

in EUR m	2018	2017	Δ
Profit after tax	462.3	362.0	27.7%
Less minority interest	1.4	1.2	
Profit after tax (consolidated) attributable to shareholders of Brenntag AG	460.9	360.8	27.7%
Proposed dividend payment	185.4	169.9	
Proposed Dividend per share in EUR	1.20	1.10	9.1%
Payout ratio	40.2%	47.1%	



IFRS 16

Implementation of IFRS 16: Indicative implications on P&L and balance sheet

P&L		
in EUR m	Indicative IFRS 16 impact on FY 2019	
Sales	➡	Unchanged
Op. Gross Profit	➡	Unchanged
Opex (Rent & Leases)	⬇ ~ -100	Decrease
Op. EBITDA	⬆ ~ +100	Increase
EPS	➡ ~ +/-0	Remain about stable

Balance Sheet		
in EUR m	Indicative IFRS 16 impact on FY 2019	
Lease liabilities	⬆ ~ +350	Increase
Right-of-use assets	⬆ ~ +350	Increase

- In 2018: EUR 144m expenses for operating leases included in EBITDA
- IFRS 16: (most) rent & lease expenses will be re-classified to depreciation and interest expenses
- Positive impact on EBITDA
- Limited effect on EPS

- Leases have to be recognized as a right-of-use asset
- A corresponding liability will be recorded

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OUTLOOK

Brenntag expects growth in softer environment

	2019	Mid term
Macro	Softening of macroeconomic indicators	2-3% p.a. IP growth (assumption)
EBITDA	3-7% growth (fx adj., incl. M&A and frozen GAAP)	4-6% p.a. growth (fx adj., organic)
CAPEX	EUR ~220m less EUR ~25m compensation	
Comments	▪ Macro outlook softened in recent months ▪ Weaker start into the year, mainly in EMEA ▪ Phasing of growth: Stronger growth in H2 2019 ▪ Based on Frozen GAAP (i.e. IFRS 16 impacts not included)	

THANK YOU FOR YOUR ATTENTION



**Steven Holland,
CEO**

- With Brenntag since 2006
- +30 years of dedicated experience
- Region Latin America, Corp. Communications, Development, HR, HSE, Internal Audit + Compliance, M&A, Sustainability



**Georg Müller,
CFO**

- With Brenntag since 2003
- +10 years of experience in chemicals distribution
- Corp. Accounting, Controlling, Finance & IR, Legal, Tax, Risk Management, Brenntag International Chemicals

We are ready to answer your questions!

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FINANCIALS Q4 2018

Income statement

in EUR m	Q4 2018	Q4 2017	Δ	Δ FX adjusted	2018
Sales	3,138.0	2,876.1	9.1%	8.6%	12,550.0
Cost of materials	-2,469.7	-2,258.4	9.4%		-9,889.1
Operating Gross profit	668.3	617.7	8.2%	7.4%	2,660.9
Operating expenses	-455.2	-420.2	8.3%		-1,785.4
Operating EBITDA	213.1	197.5	7.9%	6.8%	875.5
Op. EBITDA / op. gross profit	31.9%	32.0%			32.9%
Net expenses from holding charges and special items	19.1	-47.9			17.4
Depreciation	-33.8	-32.7	3.4%		-122.0
EBITA	198.4	116.9	69.7%		770.9
Amortization ¹⁾	-12.6	-9.7	29.9%		-49.9
EBIT	185.8	107.2	73.3%		721.0
Financial result	-26.9	-26.8	0.4%		-97.5
EBT	158.9	80.4	97.6%		623.5
Profit after tax	127.5	59.7	113.6%		462.3
EPS	0.82	0.38	115.8%		2.98

1) Includes scheduled amortization of customer relationships amounting to EUR 10.3m in Q4 2018 (EUR 7.3m in Q4 2017 and EUR 34.7 million in 2017).

FINANCIALS Q4 2018

Cash flow statement

in EUR m	Q4 2018	Q4 2017	2018
Profit after tax	127.5	59.7	462.3
Depreciation & amortization	46.4	42.4	171.9
Income taxes	31.4	20.7	161.2
Income tax payments	-28.3	-39.7	-150.6
Interest result	19.3	20.7	82.3
Interest payments (net)	-15.7	-15.8	-80.0
Changes in current assets and liabilities	39.7	42.8	-230.7
Changes in provisions	-1.6	28.5	-25.7
Other	-27.4	-2.9	-15.4
Cash provided by operating activities	191.3	156.4	375.3

FINANCIALS Q4 2018

Cash flow statement (continued)

in EUR m	Q4 2018	Q4 2017	2018
Purchases of intangible assets and property, plant & equipment (PPE)	-64.7	-65.5	-178.4
Purchases of consolidated subsidiaries and other business units	-20.9	-67.3	-199.0
Proceeds from the disposal of consolidated subsidiaries and business units	68.2	-	68.2
Other	13.0	0.2	19.1
Cash used for investing activities	-4.4	-132.6	-290.1
Purchases of companies already consolidated	-	-	-
Profits distributed to non-controlling interests	-0.6	-0.7	-1.6
Dividends paid to Brenntag shareholders	-	-	-170.0
Repayment of (-)/proceeds from (+) borrowings (net)	-146.2	-556.4	-39.9
Cash used for financing activities	-146.8	-557.1	-211.5
Change in cash & cash equivalents	40.1	-533.3	-126.3

FINANCIALS Q4 2018

Free cash flow

in EUR m	Q4 2018	Q4 2017	Δ	Δ	2018
Operating EBITDA	213.1	197.5	15.6	7.9%	875.5
CAPEX	-67.5	-69.2	1.7	-2.5%	-172.2
Δ Working capital	53.6	16.7	36.9	221.0%	-178.1
Free cash flow	199.2	145.0	54.2	37.4%	525.2

FINANCIALS Q4 2018

Segments Q4

in EUR m		EMEA	North America	Latin America	Asia Pacific	All other segments	Group
Operating gross profit	Q4 2018	273.2	289.1	42.4	60.6	3.0	668.3
	Q4 2017	266.2	255.6	42.7	50.4	2.8	617.7
	Δ	2.6%	13.1%	-0.7%	20.2%	7.1%	8.2%
	Δ FX adjusted	3.6%	9.8%	1.4%	20.4%	7.1%	7.4%
Operating EBITDA	Q4 2018	85.2	101.6	11.9	22.9	-8.5	213.1
	Q4 2017	84.2	86.2	12.9	21.1	-6.9	197.5
	Δ	1.2%	17.9%	-7.8%	8.5%	23.2%	7.9%
	Δ FX adjusted	2.8%	13.6%	-3.2%	6.2%	23.2%	6.8%